

depending on the environmental factors and how the market is behaving.

I have personally kept my Gold portion of the portfolio to be between the range of 4-7%. Remember that the % of an investment in your portfolio keeps changing with different rate of returns from your investments. E.g. if Stock Market is doing extremely good, your % allocation of equity portion may shoot much beyond the target for your age. This higher % of equity will also push down the % of debt investments, gold etc., to a lower level in the overall portfolio. In such scenarios, a wise wealth creator would regularly monitor and rebalance the portfolio so as to keep the ratios more or less as per the risk profile. This would mean moving a part of the money from equity based investments to debt based investments or gold until the balance in the portfolio is achieved once again (This movement of funds across various asset classes requires liquidity in your investments, a concept which we will study later)

If you are a start up investor, make a Systematic Investment Plan (SIP) to invest small amounts regularly in gold and build up a significant worth. Keep a watch on the market trends in stocks and gold on a regular basis to see how these prices fluctuate and how they are also related to each other. A stage will come when you will be able to make informed judgments around these price fluctuations and will be confident of taking independent decisions about how to vary your portfolio allocation to maximize your returns. This will not only take time but also a lot of hard work and commitment. But it is all worth it for financial freedom that we are all striving for.

Which decisions in the global economy impact stocks and gold and in what way? Why does this happen? Find the answers to these questions. There is no short cut to being wealthy. It took me almost a decade to understand all these concepts before I started moving the investments around in my portfolio to maximize the returns.